Building trusted foundations for digital finance

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TYPE

Speech

SUBTYPE

Central banker's speech

DATE DELIVERED

19 October 2026

COUNTRY

Singapore

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Keynote address by Mr Chia Der Jiun, Managing Director of the Monetary Authority of Singapore, at the INSEAD Digital Finance and Agentic AI Summit, Singapore, 9 October 2026.

Good morning. It is a great pleasure to be at INSEAD and to join you today to discuss the future of digital finance.

Over the past several years, MAS has worked closely with the financial industry on a wide range of initiatives in digital assets, digital money and financial infrastructure. This has given us a clearer view of how the architecture of finance is changing.

Three developments stand out. Assets are becoming digital. Money is becoming programmable. Financial infrastructure is becoming more interconnected.

The question is no longer simply whether these technologies work. Many of the underlying capabilities have been demonstrated. The more important question is what is needed for them to operate safely, commercially and at scale.

Innovation must be founded on trust and stability if it is to scale. For digital finance, this means getting the foundational building blocks of legal and regulatory frameworks, industry standards and trusted infrastructure right across all three layers: digital assets, digital money and digital infrastructure.

Let me speak about each in turn.

Digital Assets: From Experimentation to Economic Value

Let me begin with assets.

The feasibility and value of tokenisation of assets are well accepted. Through Project Guardian, our collaboration platform with the industry, the value of tokenisation across

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Project Guardian has also brought the industry and policymakers together to identify common challenges and develop shared standards and best practices to guide implementation. These standards and practices have been published to encourage industry adoption.

This public-private partnership matters. Tokenised markets will not scale through isolated experiments or proprietary solutions alone. Financial institutions need common approaches to asset servicing, disclosure, interoperability and risk management.

MAS is complementing this industry work by providing greater regulatory clarity. Our Guide on the Tokenisation of Capital Markets Products explains how existing securities laws apply to the issuance, offering and facilitation of tokenised products. The underlying principle is straightforward: the same economic activity and risks should be subject to the same regulatory outcomes, regardless of the technology used. We are also reviewing other aspects of tokenisation that may require further legal clarification.

Taken together, industry standards and legal and regulatory clarity lay important foundations for commercial adoption.

Meaningful commercial adoption of tokenisation has typically been within smaller ecosystems. For example, it is increasingly common for large banks to offer deposit tokens in multiple currencies to corporate customers for treasury management. The challenge is in extending the use of such deposit tokens beyond the bank's own ecosystem. A single trading platform may be able to tokenise some equities for its own customers, but still be unable to tap into wider market liquidity.

Repo transactions are an example of a specialised ecosystem where the potential benefits are tangible and some progress has been made. A repo brings together the transfer of securities and cash, collateral valuation and, where required, margining or collateral substitution. Tokenisation can help coordinate these steps on compatible infrastructure and reduce repeated reconciliation between participants. But the benefits can only be realised at scale if borrowers, lenders, custodians, cash providers and settlement infrastructure are able to process the transaction together.

Globally, there has also been some progress in tokenising bond issuance, private credit and

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together. The use cases most likely to progress quickly are those where the benefits to the wider ecosystem are clear and participants can coordinate a collective move.

In Singapore, we are collaborating with industry partners to identify the key tokenisation use cases that have broad demand and support. Where the case for collective adoption is clear, we will lean in to help orchestrate that move.

Digital Money: Trusted Settlement for Digital Markets

This brings me to digital money—the settlement assets used in tokenised transactions.

Tokenised transactions will only scale if they are settled using safe and trusted digital money. A transaction is only complete when value has moved with certainty and finality. This means that digital money will need to be trusted and have the characteristics of value stability and wide acceptability.

There is unlikely to be a single form of digital money. Tokenised bank deposits, regulated stablecoins and central bank digital currency can each serve different needs. For example, deposit tokens will find acceptance in banking-related use cases in cash management and payments, while stablecoins may find wider adoption on crypto exchanges and in fintech payments. Whatever the use case, what underpins trusted adoption is safety, stability and wide acceptance. Hence it is important to ensure that settlement assets used in digital markets, particularly for wholesale transactions, are sound, appropriately regulated and able to interoperate.

We are taking this work forward with the industry through BLOOM, which is our platform for advancing settlement arrangements using digital money. That includes tokenised bank deposits and regulated stablecoins. The work addresses both domestic and cross-border applications. The common need across all applications is that digital money should support more efficient settlement while meeting the safeguards expected of regulated financial activity.

Private forms of digital money can support innovation, but they must remain anchored in a trusted monetary system. Central bank money has a distinct role as the anchor for settlement finality and the preservation of the singleness of money. Commercial bank

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transactions. Should some stablecoins become systemically important, the need to anchor value stability of these coins increases. Hence there have been discussions and proposals for additional regulatory requirements and access to central bank reserves for any future systemically important stablecoins.

At the current early stage of development of tokenised assets and digital money, preparations can be made for the issuance and use of CBDCs. As usage of private digital money scales, CBDCs will ultimately be needed to anchor monetary stability. MAS has made wholesale Singapore dollar central bank digital currency (SGD wholesale CBDC) available through the Singapore dollar Test Network (SGD Testnet). This was operational in 2025, with the first successful trial featuring the settlement of interbank overnight lending transactions between DBS, OCBC and UOB.

We are taking a next step to settle tokenised MAS Bills with SGD wholesale CBDC. This will develop our capability to bring tokenised assets and tokenised central bank digital currency together for transactions and settlement on common infrastructure, with settlement certainty and finality.

Trust also requires clear rules for private digital money. MAS has consulted on legislative amendments to implement the Single-Currency Stablecoin (MAS-SCS) framework. The proposed framework sets safeguards for value stability and user protection, including reserve backing, capital requirements, redemption at par and disclosure.

The consultation also addresses how the framework should accommodate cross-border activity, including multi-jurisdictional issuance and the recognition of foreign stablecoins regulated under comparable regimes. This is important if regulated stablecoins are to support wholesale cross-border payments and settlement.

The outcome we seek is a trusted digital money ecosystem: one in which different forms of high-quality settlement assets can support domestic and cross-border transactions, while preserving safety, settlement finality and confidence.

Digital Infrastructure: Connecting Multiple Networks

The third foundation is infrastructure.

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Distributed ledger technology is increasingly being adapted to meet the needs of financial markets, with several networks offering institutional-grade capabilities. We know that financial institutions are participating on different networks, and some have organised their own networks. Some jurisdictions are also developing their own digital asset and digital money stacks.

We think that the future is unlikely to consist of a single global ledger. Institutions and jurisdictions will adopt different technologies and infrastructures, reflecting different needs, market structures and regulatory requirements.

The more likely future is a network of networks: multiple ledgers and platforms, connected to one another.

So our challenge is to enable different systems to work together and to strengthen the capacity of infrastructure to implement regulatory and compliance requirements.

Without interoperability, liquidity becomes fragmented. Institutions need to duplicate infrastructure and processes. Network effects become harder to achieve. The result may be many technically capable platforms, but tokenised markets may not be operating efficiently at scale.

MAS, together with industry partners, is therefore working to establish common standards that allow different networks to interact with confidence. The aim is not to prescribe one technology or require all institutions to operate on a single ledger. It is to give financial institutions and infrastructure operators a common basis for assessing whether different networks have the governance, resilience, risk controls and connectivity needed to support regulated financial activity.

We are taking this work forward through an industry collaboration platform – Global Layer One, or GL1. The aim is to foster institutional-grade infrastructure that can support cross-border transactions in tokenised assets, while meeting the governance, risk management and compliance standards expected of regulated financial activity.

GL1 has translated this vision into practical tools. It has published the Market Infrastructure

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Interoperability Guide, which sets out how different networks can connect using internationally recognised standards. It has also developed a Programmable Compliance

the ecosystem.

Promoting common standards and approaches can create the foundations for greater connectivity across digital financial markets.

Beyond Tokenisation: Agentic Finance and the Future of Money

Let me look briefly beyond tokenisation.

We are entering a world where AI agents may increasingly act on behalf of individuals and institutions, not only to analyse information, but also to initiate and execute financial transactions and other consequential actions. Agents intersecting with tokenised assets and digital money will have significant implications.

One such implication is that customer agents optimising and executing on behalf of individuals and companies could mean that money will move around faster for smaller differences in benefits and incentives. Financial institutions will have to sharpen their value proposition, and have the capability to communicate value not just to customers but also to their agents. There will also be implications for risk management, particularly in liquidity and collateral.

Another implication is that while agents create significant opportunities for efficiency, accessibility and innovation in financial services, they also have to be deployed safely. This then requires controls around authority, permissions, identity, accountability and governance. Financial institutions must be able to ensure that AI agents act within the scope of a user's instructions, within institutional policies and risk limits, and in compliance with applicable regulatory requirements.

MAS is actively working on this emerging area of agentic finance. Earlier this year, together with industry participants, we published the Safeguards for Agentic Finance at Runtime, or SAFR, white paper. SAFR proposes a runtime governance approach that comprises three main elements: establishing agent identity and authorisation; checking proposed agent actions against the user's mandate before execution; and maintaining accountability and

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Through the Future of Finance Institute, we have also released an open-source reference implementation of SAFR to support industry experimentation, implementation and further development. We invite research institutions, technology firms and financial institutions to contribute their expertise and help shape the next phase of this work.

The technology is still developing rapidly, and many questions remain. A public-private partnership approach, of the kind we have adopted, will remain essential to form coalitions of expertise around these key questions and to build up our body of standards and good practices.

Conclusion

Let me sum up and conclude.

Our experience over the past several years points to three lessons.

First, tokenisation of assets can create real economic value where it addresses concrete business needs. Markets and ecosystems that demonstrate value for participants most clearly and are able to orchestrate a collective move to tokenisation will progress more quickly.

Second, multiple forms of digital money will be needed for different purposes and use cases. To be used at scale, they must be grounded in sound regulation and connected to a monetary system anchored by central banks.

Third, the future will consist of interoperable networks, rather than a single global platform. Establishing and promoting standards for interoperability will be key.

MAS will work through public-private partnerships to build momentum across all three fronts.

Thank you.

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